Summer Term 2026

Investment and Financial Management: Introduction to Corporate Finance

Sessions 05+06: Capital Budgeting

Berk/DeMarzo (2024): Corporate Finance, 6th edition, Pearson: Chapter 8

Agenda: Capital budgeting

1. Determining free cash flow (FCF) and NPV
2. Choosing among alternatives
3. Further adjustments to free cash flow (FCF)
4. Risk analysis
5. Excursus: German tax system

Agenda: Capital budgeting

1. **Determining free cash flow (FCF) and NPV**
2. **Choosing among alternatives**
3. **Further adjustments to free cash flow (FCF)**
4. **Risk analysis**
5. **Excursus: German tax system**

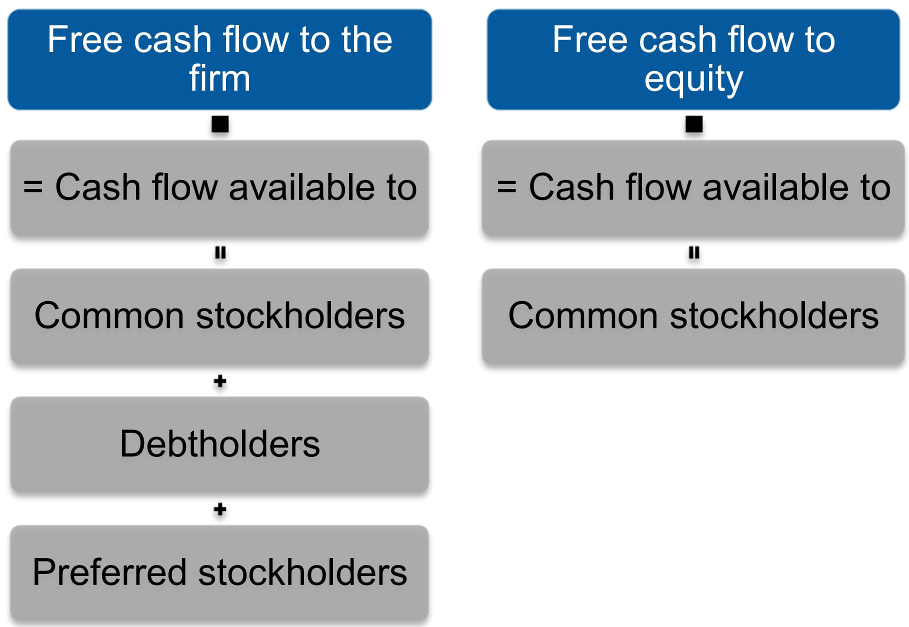
- **Definition of the free cash flow (FCF)**

  The incremental effect of a project on a firm's available cash is its free cash flow, i.e. by how much increase the cash flows that can be distributed to the claimholders due to the project? Thus, free cash flow is a firm's extra cash after its operations and other areas.

- **Methods of calculation of free cash flow**
  - Direct calculation
  - Calculation from earnings

1. Determining free cash flow (FCF) and NPV

- **Two forms of free cash flow**
  - Free cash flow to the firm (FCF): Free cash flow available to all providers of a firm's capital (e.g., common stockholders, bondholders, and preferred stockholders)
  - Free cash flow to equity (FCFE): Free cash flow available to a firm's common stockholders



- **Direct calculation of the free cash flow (FCF)**

$$FCF = \underbrace{(\text{Revenue} - \text{Cost} - \text{Depreciation}) \times (1 - \tau_C)}_{\text{Unlevered net income}} + \text{Depreciation} - \text{CapEx} - \Delta NWC$$

$$FCF = (\text{Revenue} - \text{Cost}) \times (1 - \tau_C) - \text{CapEx} - \Delta NWC + \tau_C \times \text{Depreciation}$$

With:
FCF = Free cash flow
τ_C = Corporate tax rate
τ_C x Depreciation = Depreciation tax shield
CapEx = Capital expenditures
NWC = Net working capital

1. Determining free cash flow (FCF) and NPV

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- **Calculation of the free cash flow (FCF) from earnings**

Free cash flow of firm XY
Earnings before interest and taxes (EBIT)
− Adjusted tax expense
+ Depreciation
+ / − Change in net operating working capital
= Cash flow from operations
+ Cash flow from investments (capital expenditures)
= Free (project) cash flow

▪ Forecasting earnings

- Capital budget:
  - ➢ Lists the investments that a company plans to undertake

- Capital budgeting:
  - ➢ Process used to analyze alternate investments and decide which ones to accept ➔ Here, we use the NPV rule to evaluate capital budgeting decisions

- Incremental earnings:
  - ➢ The amount by which the firm's earnings are expected to change as a result of the investment decision

- **Revenue and cost estimates**

Problem

Linksys has completed a $300,000 feasibility study to assess the attractiveness of a new product, HomeNet. The project has an estimated life of four years.

Revenue estimates
- Sales = 100,000 units/year
- Per unit price = $260

Cost estimates
- Up-front R&D = $15,000,000
- Up-front new equipment = $7,500,000
  - Expected life of the new equipment is 5 years, housed in existing lab
- Annual overhead = $2,800,000
- Per unit cost = $110

- **Revenue and cost estimates' forecast**

Solution

	Year	0	1	2	3	4	5
Incremental Earnings Forecast ($000s)							
1	Sales	—	26,000	26,000	26,000	26,000	—
2	Cost of Goods Sold	—	(11,000)	(11,000)	(11,000)	(11,000)	—
3	**Gross Profit**	—	15,000	15,000	15,000	15,000	—
4	Selling, General, and Administrative	—	(2,800)	(2,800)	(2,800)	(2,800)	—
5	Research and Development	(15,000)	—	—	—	—	
6	Depreciation	—	(1,500)	(1,500)	(1,500)	(1,500)	(1,500)
7	**EBIT**	(15,000)	10,700	10,700	10,700	10,700	(1,500)
8	Income Tax at 40%	6,000	(4,280)	(4,280)	(4,280)	(4,280)	600
9	**Unlevered Net Income**	**(9,000)**	**6,420**	**6,420**	**6,420**	**6,420**	**(900)**

- **Revenue and cost estimates' forecast**

Solution

- **Capital expenditures and depreciation**
  - **Capital expenditures:** The \$7.5 million in new equipment is a cash expense, but it is not directly listed as an expense when calculating earnings. Instead, the firm deducts a fraction of the cost of these items each year as depreciation.
  - **Depreciation:** Straight line depreciation: The asset's cost is divided equally over its life.

    Annual depr. = \$7.5 million ÷ 5 years = \$1.5 million/year

- **Interest expense**

  - In capital budgeting decisions, **interest expense** is typically not included. The rationale is that the project should be judged on its own, not on how it will be financed.

  - <u>**Note:**</u>
    - ➢ Interest expense is taken into account in the cost of capital, i.e. the discount rate used for calculating the NPV.
    - ➢ Hence, if we considered interest payments as an expense, there would be a **double counting**.

- **Tax considerations**

  - **Marginal corporate tax rate:** The tax rate on the marginal or incremental dollar of pre-tax income. Note: A negative tax is equal to a tax credit.

    $$\text{Income tax} = \text{EBIT} \times \tau_C$$

  - **<u>Note:</u>**
    - ➢ Taxes paid by the company, in fact, are lower as interest payments can be deducted from the tax base.
    - ➢ However, this tax shield effect is taken into account in adjusting the cost of capital.
    - ➢ Therefore, if we took this effect also into account when calculating the project's cash flows, there would be a double counting.

1. Determining free cash flow (FCF) and NPV

- **Tax credit**

  - **Rationale:** Typically, in a new project EBIT may be negative over the first years.

  - **Profitable company**
    - ➢ If the project takes place within an overall profitable company, we can calculate with negative tax payments, i.e. the company is granted a tax credit.
    - ➢ This is because the loss in the project can be offset against profits made in other business segments.

  - **Non-profitable company**
    - ➢ If the overall company is not profitable, we have to set-up a tax carryforward or – if allowed: a carrybackward

- **Tax losses in profitable companies (I)**

Taxing Losses for Projects in Profitable Companies

Problem

Kellogg plans to launch a new line of high-fiber, gluten-free breakfast pastries. The heavy advertising expenses associated with the product launch will generate operating losses of \$20 million next year. Kellogg expects to earn pre-tax income of \$460 million from operations other than the new pastries next year. If Kellogg pays a 25% tax rate on its pre-tax income, what will it owe in taxes next year without the new product? What will it owe with it?

- **Tax losses in profitable companies (II)**

Solution

Without the new pastries, Kellogg will owe $460 million x 25%[1] = $115 million in corporate taxes next year. With the new pastries, Kellogg's pre-tax income next year will be only $460 million - $20 million = $440 million, and it will owe $440 million x 25% = $110 million in tax. Thus, launching the new product reduces Kellogg's taxes next year by $115 million - $110 million = $5 million, which equals the tax rate (25%) times the loss ($20 million).

[1] Error in the book (45%).

Opportunity cost

- **Definition:** The value a resource could have provided in its best alternative use
- In the project example of HomeNet, space will be required for the investment. Even though the equipment will be housed in an existing lab, the opportunity cost of not using the space in an alternative way (e.g., renting it out) must be considered.

▪ Example of opportunity cost (I)

The Opportunity Cost of HomeNet's Lab Space

Problem

Suppose HomeNet's new lab will be housed in warehouse space that the company would have otherwise rented out for $200,000 per year during years 1–4. How does this opportunity cost affect HomeNet's incremental earnings?

- **Example of opportunity cost (II)**

Solution

In this case, the opportunity cost of the warehouse space is the forgone rent. This cost would reduce HomeNet's incremental earnings during years 1–4 by $\$200,000 \times (1 - 40\%) = \$120,000$, the after-tax benefit of renting out the warehouse space.

- **Project externalities**

  - **Definition:** Indirect effects of the project that may affect the profits of other business activities of the firm. **Cannibalization** is when sales of a new product displaces sales of an existing product.

- **Example of project externalities**

In the HomeNet project example, 25% of sales come from customers who would have purchased an existing Linksys wireless router (for 100 USD, CoGS equal 60 USD) if HomeNet were not available. Because this reduction in sales of the existing wireless router is a consequence of the decision to develop HomeNet, we must include it when calculating HomeNet's incremental earnings.

	Year	0	1	2	3	4	5
Incremental Earnings Forecast ($000s)							
1	Sales	—	23,500	23,500	23,500	23,500	—
2	Cost of Goods Sold	—	(9,500)	(9,500)	(9,500)	(9,500)	—
3	**Gross Profit**	—	14,000	14,000	14,000	14,000	—
4	Selling, General, and Administrative	—	(3,000)	(3,000)	(3,000)	(3,000)	—
5	Research and Development	(15,000)	—	—	—	—	—
6	Depreciation	—	(1,500)	(1,500)	(1,500)	(1,500)	(1,500)
7	**EBIT**	(15,000)	9,500	9,500	9,500	9,500	(1,500)
8	Income Tax at 40%	6,000	(3,800)	(3,800)	(3,800)	(3,800)	600
9	**Unlevered Net Income**	**(9,000)**	**5,700**	**5,700**	**5,700**	**5,700**	**(900)**

- **Sunk costs**

  - **Definition:** Sunk costs are costs that have been or will be paid regardless of the decision whether or not the investment is undertaken. ➔ Not to be included in the incremental earnings analysis!

    - **Overhead costs:** Typically overhead costs are fixed and not incremental to the project and should not be included in the calculation of incremental earnings.
    - **Past research and development expenditures:** Money that has already been spent on R&D is a **sunk cost** and therefore irrelevant. The decision to continue or abandon a project should be based only on the incremental costs and the benefits of the products going forward.

- **Unavoidable competitive effects**

  - When developing a new product, firms may be concerned about the cannibalization of existing products.
  - However, if sales are likely to decline in any case as a result of new products introduced by competitors, then these lost sales should be considered as sunk costs.

1. Determining free cash flow (FCF) and NPV

- **Real-world complexities**

  Typically,

  - sales will change from year to year.
  - the average selling price will vary over time.
  - the average cost per unit will change over time.

- **Product changes (I)**

Product Adoption and Price Changes

Problem

Suppose sales of HomeNet were expected to be 100,000 units in year 1, 125,000 units in years 2 and 3, and 50,000 units in year 4. Suppose also that HomeNet's sale price and manufacturing cost are expected to decline by 10% per year, as with other networking products. By contrast, selling, general, and administrative expenses are expected to rise with inflation by 4% per year. Update the incremental earnings forecast in the spreadsheet in Table 8.2 to account for these effects.

▪ Product changes (II)

Solution

HomeNet's incremental earnings with these new assumptions are shown in the spreadsheet below:

		Year	0	1	2	3	4	5
Incremental Earnings Forecast ($000s)								
1	Sales		—	23,500	26,438	23,794	8,566	—
2	Cost of Goods Sold		—	(9,500)	(10,688)	(9,619)	(3,463)	—
3	**Gross Profit**		—	14,000	15,750	14,175	5,103	—
4	Selling, General, and Administrative		—	(3,000)	(3,120)	(3,245)	(3,375)	—
5	Research and Development		(15,000)	—	—	—	—	—
6	Depreciation		—	(1,500)	(1,500)	(1,500)	(1,500)	(1,500)
7	**EBIT**		(15,000)	9,500	11,130	9,430	228	(1,500)
8	Income Tax at 40%		6,000	(3,800)	(4,452)	(3,772)	(91)	600
9	**Unlevered Net Income**		**(9,000)**	**5,700**	**6,678**	**5,658**	**137**	**(900)**

For example, sale prices in year 2 will be $\$260 \times 0.90 = \$234$ per unit for HomeNet, and $\$100 \times 0.90 = \$90$ per unit for the cannibalized product. Thus, incremental sales in year 2 are equal to 125,000 units $\times$ (\$234 per unit) $-$ 31,250 cannibalized units $\times$ (\$90 per unit) $= \$26.438$ million.

- **Capital expenditures and depreciation**
  - **Capital expenditures:** Actual cash outflows when an asset is purchased. These cash outflows are included in calculating free cash flow.
  - **Depreciation:** Non-cash expense. The free cash flow estimate is adjusted for this non-cash expense.

	Year	0	1	2	3	4	5
Incremental Earnings Forecast ($000s)							
1	Sales	—	23,500	23,500	23,500	23,500	—
2	Cost of Goods Sold	—	(9,500)	(9,500)	(9,500)	(9,500)	—
3	**Gross Profit**	—	14,000	14,000	14,000	14,000	—
4	Selling, General, and Administrative	—	(3,000)	(3,000)	(3,000)	(3,000)	—
5	Research and Development	(15,000)	—	—	—	—	—
6	Depreciation	—	(1,500)	(1,500)	(1,500)	(1,500)	(1,500)
7	**EBIT**	(15,000)	9,500	9,500	9,500	9,500	(1,500)
8	Income Tax at 40%	6,000	(3,800)	(3,800)	(3,800)	(3,800)	600
9	**Unlevered Net Income**	**(9,000)**	**5,700**	**5,700**	**5,700**	**5,700**	**(900)**
Free Cash Flow ($000s)							
10	Plus: Depreciation	—	1,500	1,500	1,500	1,500	1,500
11	Less: Capital Expenditures	(7,500)	—	—	—	—	—
12	Less: Increases in NWC	—	(2,100)	—	—	—	2,100
13	**Free Cash Flow**	**(16,500)**	**5,100**	**7,200**	**7,200**	**7,200**	**2,700**

- **Net (operating) working capital (NWC)**

  - Most projects will require an investment in net working capital.

$$NWC = \text{Current assets} - \text{Current liabilities}$$

$$NWC = \text{Cash} + \text{Inventory} + \underbrace{\text{Receivables} - \text{Payables}}_{\text{Trade credit}}$$

  - The increase in net working capital is defined as:

$$\Delta NWC_t = NWC_t - NWC_{t-1}$$

- **Example of net (operating) working capital (NWC) (I)**

	Year	0	1	2	3	4	5
Net Working Capital Forecast ($000s)							
1	Cash Requirements	—	—	—	—	—	—
2	Inventory	—	—	—	—	—	—
3	Receivables (15% of Sales)	—	3,525	3,525	3,525	3,525	—
4	Payables (15% of COGS)	—	(1,425)	(1,425)	(1,425)	(1,425)	—
5	**Net Working Capital**	**—**	**2,100**	**2,100**	**2,100**	**2,100**	**—**

- **Example of net (operating) working capital (NWC) (II)**

Net Working Capital with Changing Sales

Forecast the required investment in net working capital for HomeNet under the scenario in Example 8.3.

Solution

Required investments in net working capital are shown below:

	Year	0	1	2	3	4	5
Net Working Capital Forecast ($000s)							
1	Receivables (15% of Sales)	—	3,525	3,966	3,569	1,285	—
2	Payables (15% of COGS)	—	(1,425)	(1,603)	(1,443)	(519)	—
3	**Net Working Capital**	—	2,100	2,363	2,126	765	—
4	**Increases in NWC**	—	**2,100**	**263**	**(237)**	**(1,361)**	**(765)**

In this case, working capital changes each year. A large initial investment in working capital is required in year 1, followed by a small investment in year 2 as sales continue to grow. Working capital is recovered in years 3–5 as sales decline.

- **Example of net (operating) working capital (NWC) (III)**

Solution

Required investments in net working capital are shown below:

	Year	0	1	2	3	4	5
Net Working Capital Forecast ($000s)							
1	Receivables (15% of Sales)	—	3,525	3,966	3,569	1,285	—
2	Payables (15% of COGS)	—	(1,425)	(1,603)	(1,443)	(519)	—
3	**Net Working Capital**	—	2,100	2,363	2,126	765	—
4	**Increases in NWC**	—	**2,100**	**263**	**(237)**	**(1,361)**	**(765)**

In this case, working capital changes each year. A large initial investment in working capital is required in year 1, followed by a small investment in year 2 as sales continue to grow. Working capital is recovered in years 3–5 as sales decline.

1. Determining free cash flow (FCF) and NPV

- **Calculation of the net present value (NPV)**

$$PV(FCF_t) = \frac{(FCF_t)}{(1+r)^t} = FCF_t \times \frac{1}{(1+r)^t}$$

- **Example of NPV calculation (WACC = 12%)**

$$NPV = -19{,}500 + \frac{7000}{1.12} + \frac{9100}{1.12^2} + \frac{9100}{1.12^3} + \frac{9100}{1.12^4} + \frac{2400}{1.12^5} = \$7627$$

		Year	0	1	2	3	4	5
Net Present Value ($000s)								
1	**Free Cash Flow**		(19,500)	7,000	9,100	9,100	9,100	2,400
2	Project Cost of Capital	12%						
3	Discount Factor		1.000	0.893	0.797	0.712	0.636	0.567
4	**PV of Free Cash Flow**		(19,500)	6,250	7,254	6,477	5,783	1,362
5	**NPV**		**7,627**					
6	**IRR**		27.9%					

Agenda: Capital budgeting

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2. **Choosing among alternatives**
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2. Choosing among alternatives

- **Rules for choosing among alternative projects**

Choosing between mutually exclusive investment opportunities:
Pick the opportunity with the highest NPV.

Choosing between alternatives:
Only include those components of free cash flow that differ among the alternatives.

- **Evaluating manufacturing alternatives**

Problem

In the HomeNet example, assume the company could produce each unit in-house for $95 if it spends $5 million upfront to change the assembly facility (versus $110 per unit if outsourced). The in-house manufacturing method would also require an additional investment in inventory equal to one month's worth of production.
(Units produced = 100,000)

Costs	Outsource	In-house
Cost per unit	$110	$95
Upfront cost	NA	$5,000,000
Investment in A/P	15% of COGS	15% of COGS

▪ Calculation of evaluating manufacturing alternatives

Solution (I)

- **Outsource**
  - ➢ COGS = 100,000 units × \$110 = \$11 million
  - ➢ Investment in A/P = 15% × \$11 million = \$1.65 million
  - ➢ ΔNWC = –\$1.65 million in Year 1 and will increase by \$1.65 million in Year 5
  - ➢ NWC falls since this A/P is financed by suppliers.

- **In-house**
  - ➢ COGS = 100,000 units × \$95 = \$9.5 million
  - ➢ Investment in A/P = 15% × \$9.5 million = \$1.425 million
  - ➢ Investment in Inventory = \$9.5 million / 12 = \$0.792 million
  - ➢ ΔNWC in Year 1 = \$0.792 million – \$1.425 million = –\$0.633 million
  - ➢ NWC will fall by \$0.633 million in Year 1 and increase by \$0.633 million in Year 5.

- **NPV calculation of evaluating manufacturing alternatives**

Solution (II)

	Outsourced Assembly ($000s) — Year	0	1	2	3	4	5
1	**EBIT**	—	(11,000)	(11,000)	(11,000)	(11,000)	—
2	Income Tax at 40%	—	4,400	4,400	4,400	4,400	—
3	**Unlevered Net Income**	—	(6,600)	(6,600)	(6,600)	(6,600)	—
4	Less: Increases in NWC	—	1,650	—	—	—	(1,650)
5	**Free Cash Flow**	**—**	**(4,950)**	**(6,600)**	**(6,600)**	**(6,600)**	**(1,650)**
6	**NPV at 12%**	**(19,510)**					

	In-House Assembly ($000s) — Year	0	1	2	3	4	5
7	**EBIT**	(5,000)	(9,500)	(9,500)	(9,500)	(9,500)	—
8	Income Tax at 40%	2,000	3,800	3,800	3,800	3,800	—
9	**Unlevered Net Income**	(3,000)	(5,700)	(5,700)	(5,700)	(5,700)	—
10	Less: Increases in NWC	—	633	—	—	—	(633)
11	**Free Cash Flow**	**(3,000)**	**(5,067)**	**(5,700)**	**(5,700)**	**(5,700)**	**(633)**
12	**NPV at 12%**	**(20,107)**					

- **Result: Outsourcing is the less expensive alternative**

Agenda: Capital budgeting

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- **Adjustments to free cash flow (I)**

  - **Other non-cash items**
    - Amortization

  - **Timing of cash flows**
    - Cash flows are often spread throughout the year

  - **Accelerated depreciation**
    - Modified accelerated cost recovery system (MACRS) depreciation

- **Example of accelerated depreciation**

Computing Accelerated Depreciation

Problem

What depreciation deduction would be allowed for HomeNet's equipment using the MACRS method, assuming the equipment is put into use in year 0 and designated to have a five-year recovery period?

- **Example of accelerated depreciation**

Solution

Table 8A.1 in the appendix provides the percentage of the cost that can be depreciated each year. Based on the table, the allowable depreciation expense for the lab equipment is shown below (in thousands of dollars):

	Year	0	1	2	3	4	5
MACRS Depreciation							
1	Lab Equipment Cost	(7,500)					
2	MACRS Depreciation Rate	20.00%	32.00%	19.20%	11.52%	11.52%	5.76%
3	Depreciation Expense	(1,500)	(2,400)	(1,440)	(864)	(864)	(432)

Note that as long as the equipment is put into use by the end of year 0, the tax code allows us to take our first depreciation expense in year 0. Compared with straight-line depreciation, the MACRS method allows for larger depreciation deductions earlier in the asset's life, which increases the present value of the depreciation tax shield and so will raise the project's NPV. In the case of HomeNet, computing the NPV using MACRS depreciation leads to an NPV of $5.34 million.

3. Further adjustments to free cash flow

- **Adjustments to free cash flow (II)**

  - **Liquidation or salvage value**
    - Include (after-tax) liquidation or salvage value of any assets that are disposed of

  - **Terminal or continuation value**
    - Market value of the free cash flow from the project at all future dates

  - **Tax loss carryforwards or tax carrybacks**
    - Allow corporations to take losses during its current year and offset them against gains in nearby years

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- **Different methods of risk analysis**

  - **Break-even analysis**
    - ➢ Computes the level of a parameter that makes the project's NPV equal to zero

  - **Sensitivity analysis**
    - ➢ Shows how the NPV varies with a change in one of the assumptions, holding the other assumptions constant

  - **Scenario analysis**
    - ➢ Considers the effect on the NPV of simultaneously changing multiple assumptions

▪ Break-even analysis

Problem

In the HomeNet example, we can also calculate the break-even. First, we calculate the HomeNet IRR and afterwards the break-even levels.

	Year	0	1	2	3	4	5
NPV ($000s) and IRR							
1	**Free Cash Flow**	(16,500)	5,100	7,200	7,200	7,200	2,700
2	**NPV at 12%**	**5,027**					
3	**IRR**	24.1%					

Parameter	Break-Even Level
Units sold	79,759 units per year
Wholesale price	$232 per unit
Cost of goods	$138 per unit
Cost of capital	24.1%

- **Sensitivity analysis**

Problem

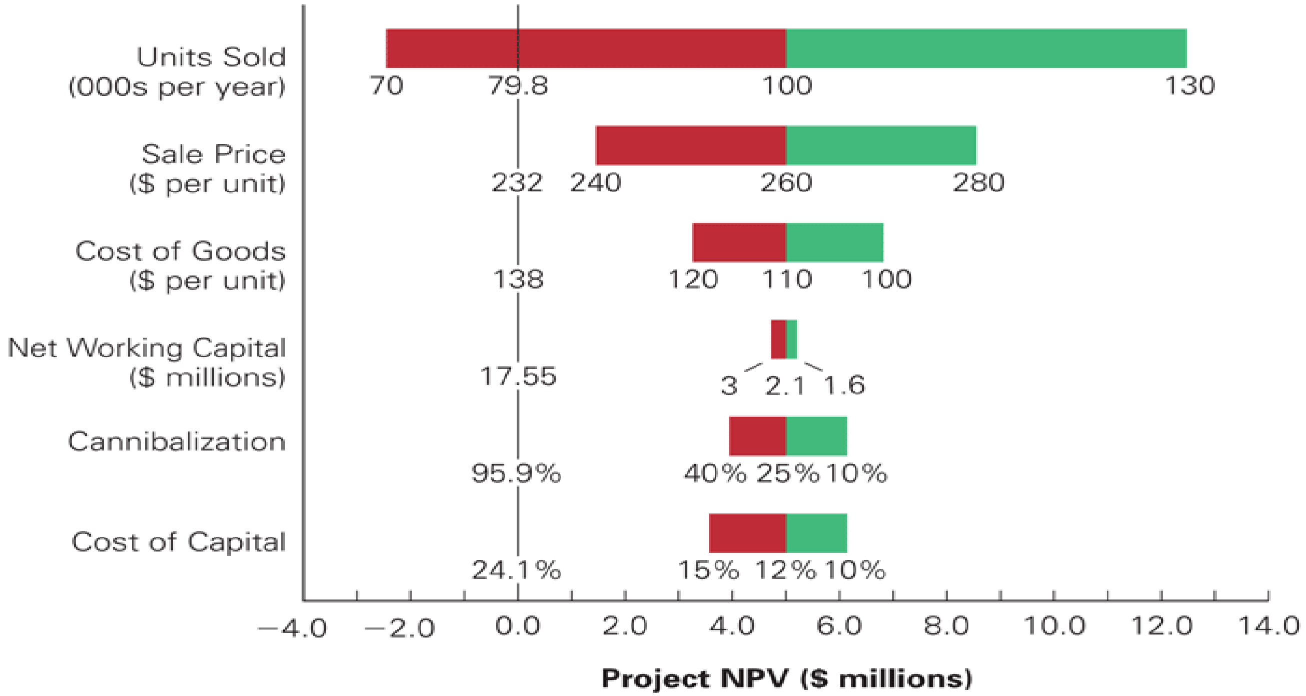
Best- and worst-case parameter assumptions for HomeNet

Parameter	Initial Assumption	Worst Case	Best Case
Units sold (thousands)	100	70	130
Sale price ($/unit)	260	240	280
Cost of goods ($/unit)	110	120	100
NWC ($ thousands)	2100	3000	1600
Cannibalization	25%	40%	10%
Cost of capital	12%	15%	10%

- **Sensitivity analysis**

Solution

HomeNet's NPV under best- and worst-case parameter assumptions

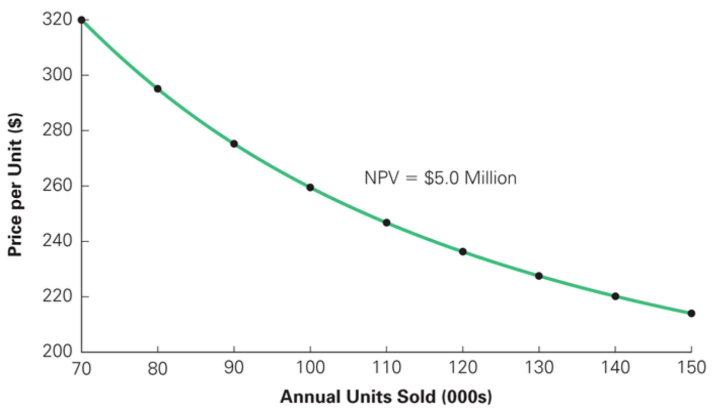


- **Scenario analysis**

Problem

HomeNet's scenario analysis of alternative pricing strategies

Strategy	Sale Price ($/unit)	Expected Units Sold (thousands)	NPV ($ thousands)
Current strategy	260	100	5027
Price reduction	245	110	4582
Price Increase	275	90	4937



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Tax system for corporations

Income before taxes	100,00
− Local business tax (14%)	14.00
= Income after local business tax	86.00
− Federal corporate tax incl. solidarity tax (15.83%)	15.83
= Net income	70.17
Marginal corporate tax rate	**29.83**
Dividend	70.17
− Withholding tax incl. solidarity tax (26.375%)	18.51
Shareholder‘s net income	51.66
Overall marginal tax rate assuming full profit distribution	**48.34**

▪ Tax system for partnerships

	without retained profits	with retained profits
Income before taxes	100.00	100.00
− Local business tax (14%)	14.00	14.00
− Personal taxes (45% / 28.25%)	45.00	28.25
+ Lump-sum business tax credit (14 / 4 x 3.8)	13.30	13.30
− Solidarity tax (5.5% on net personal income tax)	1.74	0.82
= Net income	52.56	70.23
Subsequent distribution of accumulated profits		70.23
− Deferred tax payment (26.375%)		18.52
= Net Income	52.56	51.71
Overall marginal tax rate	**47.44**	**48.29**

Chapter quiz of sessions 05 + 06

1. Should you include sunk costs in the cash flow forecasts of a project? Why or why not?
2. Should you include opportunity costs in the cash flow forecasts of a project? Why or why not?
3. Do you include interest expenses in the FCF-calculation?
4. How do you choose between mutually exclusive capital budgeting decisions?
5. How does scenario analysis differ from sensitivity analysis?